

China Daily Brief

Monday, September 21, 2026

2,826 words · 11 min read

RE: Xi's DC visit confirmed Sept 23-25 · Zhang Youxia expelled from PLA · Bessent-He AI talks · rare earths drop · Taiwan arms freeze

USD/CNY
6.6837
▼ -0.37%

SSE COMPOSITE
3,949.91
▲ +2.22%

HANG SENG
25,042.71
▲ +0.50%

BRENT
\$96.40
▼ -8.91%

IN THIS ISSUE [Top Stories](#) · [US-China](#) · [The World](#) · [Beijing](#) · [Markets](#) · [Statements](#) · [Analysis](#) · [Overnight](#) · [The Wire](#) · [Upcoming](#)

• TODAY AT A GLANCE

- 1 Xi Jinping will make a state visit to Washington September 23-25, Beijing confirmed Monday, reciprocating Trump's May Beijing summit.
- 2 China's Ministry of National Defense announced the expulsion of CMC Vice Chairman Zhang Youxia and General Liu Zhenli from the party and military for 'serious violations of discipline and law.'
- 3 Treasury Secretary Scott Bessent and Vice Premier He Lifeng concluded roughly eight hours of talks in New York Sunday, proposing a new US-China AI incident-notification mechanism ahead of Thursday's summit.

DIPLOMACY

Xi Jinping to make state visit to Washington September 23-25

Beijing confirmed Monday that **Xi Jinping** will pay a state visit to Washington from September 23-25, reciprocating **Trump's** May 14-15 Beijing summit. Trade, rare earths, AI safety and Taiwan arms sales are expected on the agenda, per Taipei Times reporting on the visit's diplomatic run-up.

REUTERS

PLA

Zhang Youxia, Liu Zhenli expelled from party and military

China's Ministry of National Defense announced Monday that **Zhang Youxia** and **Liu Zhenli** have been expelled from the Communist Party and the PLA for 'serious violations of discipline and law.' Zhang Youxia was listed as a CMC Vice Chairman as of the Sept. 5 baseline; the announcement follows the October 2025 Fourth Plenum expulsions of He Weidong and Miao Hua.

MND ZH

US-CHINA

Bessent, He Lifeng hold 8-hour talks, propose US-China AI dialogue

US and Chinese officials met roughly eight hours Sunday at JPMorgan Chase's Manhattan headquarters. **Scott Bessent** proposed a 'US-China AI dialogue' notification mechanism for AI incidents that 'rise up to a national security level'; **He Lifeng** led China's delegation alongside newly elevated trade negotiator Li Chenggang.

AFP

CROSS-STRAIT

Beijing presses Trump to freeze \$14 billion Taiwan arms sale

Beijing is pressing **Trump** to freeze a proposed *\$14 billion* weapons sale to Taiwan ahead of Xi's Washington visit, the New York Times reports. Taipei Times separately reported the US may delay the announcement until after November's APEC summit in Shenzhen, with a 'strong possibility' the freeze extends through the December G20 in Doral.

NYT

SANCTIONS

China's rare-earth shipments to US drop 20% ahead of summit

Chinese rare-earth shipments to the US fell *20 percent* in August from July, the Financial Times reports, as Washington presses Beijing over critical-mineral supplies before Thursday's summit. Bloomberg separately reported China's rare-earth magnet exports to the US also dropped ahead of the meeting.

PRC-ECONOMY

Xi arrives at summit with China's export engine 'roaring'

China's export engine remains strong heading into Thursday's Trump-Xi summit, Reuters reports. Beijing has fulfilled its farm-purchase pledges selectively, buying soybeans while missing broader targets, and continues to slow-walk yuan appreciation, per separate reporting from the New York Times and Nikkei Asia.

REUTERS

-
- TECHNOLOGY** How a Chinese hacking firm used AI to supercharge cyber-espionage · WSJ
WSJ reports on a Chinese hacking firm that used AI tools to accelerate and scale cyber-espionage operations. The report adds to a string of recent US warnings about AI-enabled Chinese cyber activity.
-
- DIPLOMACY** State funeral in Hong Kong honors Tung Chee-hwa · WaPo
Hong Kong held its third post-handover state funeral for Tung Chee-hwa, the territory's first chief executive, who died September 8 at 89. CPPCC Vice Chairman Shi Taifeng and HKMAO Director Xia Baolong attended, per the Post.
-
- PRC-ECONOMY** As Xi pursues global power, many Chinese citizens feel left behind · WaPo
The Washington Post reports on the gap between Beijing's global-power ambitions and domestic economic sentiment. The piece runs alongside separate reporting on China's deflationary pressures tied to its AI investment push.
-
- PRC-ECONOMY** Asian stocks rise on AI demand, US-China trade talk optimism · CNA
Hong Kong, Shanghai and Seoul markets advanced Monday on AI-sector demand and positive signals from the weekend Bessent-He Lifeng talks, per CNA. Chinese state media described the talks as 'candid, in-depth and constructive.'
-
- PRC-ECONOMY** Wheat jumps after positive signals from US-China talks · Bloomberg
Wheat futures rose after Sunday's New York talks produced upbeat signals on trade, Bloomberg reports. The move follows a similar bump reported in soybeans ahead of the Trump-Xi summit.
-
- PRC-ECONOMY** Emerging-market stocks, currencies gain after US-China talks · Bloomberg
EM assets rallied Monday following the weekend US-China trade and AI discussions, Bloomberg reports. The gains track broader Asian equity strength reported by CNA and other outlets.
-
- TECHNOLOGY** Microsoft AI chief: China isn't an excuse to forgo regulation · Bloomberg
Microsoft's AI chief pushed back on arguments that US-China AI competition justifies looser domestic regulation, per Bloomberg. The comments land as Washington and Beijing negotiate a bilateral AI-safety notification channel.
-
- CROSS-STRAIT** Buyers snap up fruit after Hualien farmer refuses China sales · Taipei Times
A Hualien pomelo farmer publicly refused to sell to China after Beijing registered 79 more Taiwanese orchards for export, drawing a wave of supportive local purchases. His post drew negative comments when reposted on Chinese social media.
-

TARIFF · NIKKEI ASIA

US, China agree to carve out 'nonsensitive' goods from future tariff actions

Nikkei reports the two sides agreed to exempt 'nonsensitive' goods from future tariff actions alongside the new AI-notification channel. The carve-out mechanism emerged from the same Sunday session at JPMorgan's New York headquarters.

DIPLOMACY · NYT

China has not met farm-purchase pledge except for soybeans

China has fallen short of its commitment to buy at least \$17 billion a year in US farm goods through 2028, with soybeans the exception, the New York Times reports. Bloomberg separately reported China bought more US soybeans just days before the summit even as wheat and other categories lag.

INVESTMENT · CNBC

Chinese biopharma stocks jump on report US will keep door open to drug deals

Chinese biopharma shares rose Monday after a report the US may continue allowing most drug-licensing deals with Chinese firms, CNBC reports. The move suggests one channel of US-China commercial engagement may avoid new restrictions.

INVESTMENT · BLOOMBERG

Trump-Xi talks could yield \$6 billion of US natural gas sales to China

Bloomberg reports the summit could produce a *\$6 billion* natural gas purchase agreement as part of broader trade discussions. The figure would sit alongside the farm-purchase and Boeing commitments from the May Beijing summit.

DIPLOMACY · AP

Trump brands Democrats 'communists' while preparing to host Xi

AP notes Trump has intensified rhetoric calling Democrats 'communists' ahead of the midterms even as he prepares to host Xi Jinping, a Communist Party leader, for Thursday's state visit. The visit is Xi's first to Washington in nearly three years, per Bloomberg reporting.

CROSS-STRAIT · REUTERS

New Zealand naval ships transit contested Taiwan Strait

New Zealand naval vessels transited the Taiwan Strait, Reuters reports, joining a growing list of non-US allied navies conducting the passage. The transit adds to a pattern of allied freedom-of-navigation activity in the Strait this year.

CROSS-STRAIT · BLOOMBERG

Taiwan launches first global entity as China squeezes its diplomatic space

Taiwan formed its first global disaster-response entity, Bloomberg reports, a workaround for its shrinking access to multilateral bodies under Chinese pressure. The move follows Beijing's continued campaign to block Taiwan's participation in international organizations.

AFRICA · SCMP

Djibouti base upgrade may give PLA window on foreign military operations

China has upgraded its Djibouti base with communications equipment a CSIS analysis says is 'likely enhancing' signals-intelligence collection, per SCMP. The facility sits within *16 kilometers* of US, French, Italian and Japanese bases in an unusually concentrated foreign-military environment.

AUSTRALIA-PACIFIC · PLA DAILY

State Vice President Han Zheng meets Australian House Speaker Dick

Han Zheng told Australia's House Speaker Milton Dick that Beijing wants to build a 'more mature, stable and fruitful' comprehensive strategic partnership, per PLA Daily. Dick said Australia 'places high importance' on ties with China and 'adheres to the one-China policy.'

KOREA · NYT CHINESE

Trump extends outreach to Kim Jong Un; analysts see Xi leverage play

NYT Chinese reports Trump wants another meeting with Kim Jong Un, and analysts believe Xi Jinping could see facilitating that meeting as a favor to Trump despite Beijing's discomfort with closer US-North Korea ties. Analysts say Xi could use the gesture as leverage on other US-China issues.

RUSSIA-CENTRAL ASIA · CCTV

China congratulates Russia as United Russia leads Duma election

Russia's central election commission said the ruling United Russia party won *57.83 percent* and 355 seats in the State Duma election, per CCTV. China's Foreign Ministry separately congratulated Russia on the vote at Monday's press briefing.

JAPAN · CHINA DAILY

China says export controls target Japan's military uses

China Daily reports Beijing's export controls are aimed at curbing Japan's military applications of controlled items. The framing follows recent Chinese protests over US missile deployments in Japan and an ongoing anti-dumping case against Japanese chip chemicals.

ASEAN · VOA CHINESE

Philippines reaffirms one-China policy, says it won't stop Taiwan cooperation

Manila reiterated its one-China policy remains unchanged, VOA Chinese reports, while stressing this 'does not prevent' continued economic cooperation with Taiwan. The statement comes amid ongoing Philippines-China friction over South China Sea claims.

20%

Drop in China's rare-earth shipments to the US, August vs. July

The Financial Times reports the decline comes as Washington presses Beijing over critical-mineral supplies before Thursday's summit; Bloomberg separately reported rare-earth magnet exports to the US also fell.

Financial Times

• ECONOMY & BUSINESS

AUTO / CATL · FT

CATL develops pick-up truck batteries for US despite trade barriers

CATL is developing batteries for US pick-up trucks despite existing trade barriers, comments made ahead of Xi's Washington visit, per the FT.

MANUFACTURING / CATL · BLOOMBERG

CATL sees limited impact from China's new battery tax on orders

CATL said a newly imposed domestic battery tax is having limited impact on its order book, Bloomberg reports.

FINANCE / ROBOTECHNIK · REUTERS

Four Chinese firms seek up to \$1.83 billion in Hong Kong offerings

China's Robotechnik launched a Hong Kong share sale of up to \$660.3 million, one of four Chinese firms seeking a combined \$1.83 billion in HK listings, Reuters reports.

TECH · REUTERS

China slows humanoid robot IPO rush as hype outruns reality

Regulators and bankers are cooling a rush of humanoid-robot IPOs, Reuters reports, as valuations run ahead of commercial traction.

MACRO · BLOOMBERG

India's China exports jump nearly 40% as trade gap widens

India's exports to China rose 39 percent to \$9.6 billion in the first five months of FY2026-27, led by electronics, per Indian commerce ministry data cited by Bloomberg; China still shipped \$131.6 billion to India in the prior fiscal year.

FINANCE · BLOOMBERG

T. Rowe fund targets Chinese winners of booming AI supply chain

A T. Rowe Price fund is positioning around Chinese companies it sees benefiting from the AI hardware supply chain boom, Bloomberg reports.

MACRO · NIKKEI ASIA

China slow-walks yuan appreciation as US, Europe press for rebalancing

Nikkei reports Beijing continues to resist faster yuan appreciation despite Western pressure for trade rebalancing ahead of the Trump-Xi summit.

● WHAT BEIJING DID

STATE COUNCIL + MINISTRIES · MONDAY, SEPTEMBER 21, 2026

中国人民银行 · PEOPLE'S BANK OF CHINA

PBOC conducts CNY165bn 7-day reverse repo at 1.40%

The central bank injected *165 billion yuan* via 7-day reverse repos at an operating rate of 1.40 percent Monday, a routine liquidity operation.

→ [PBOC ZH](#) ↗

中国人民银行 · PEOPLE'S BANK OF CHINA

PBOC to auction CNY60bn of 6-month bills in Hong Kong

The PBOC will auction 60 billion yuan of six-month central bank bills in Hong Kong on September 23, according to the bank's notice.

→ [PBOC ZH](#) ↗

外交部 · MOFA · Guo Jiakun, spokesperson

MOFA details arrangements for Xi's Washington state visit

Spokesperson Guo Jiakun outlined the September 23-25 visit schedule and China's expectations for the summit with Trump at Monday's regular press briefing.

→ [MOFA ZH](#) ↗

商务部 · MOFCOM

MOFCOM confirms US-China economic and trade consultations held in New York

The commerce ministry confirmed the New York consultations between the Chinese delegation and US counterparts ahead of the Trump-Xi summit.

→ [MOFCOM ZH](#) ↗

PERSONNEL CHANGES

Zhang Youxia **EXPELLED**

CMC Vice Chairman (per Sept 5 baseline)

Expelled from the Communist Party and the PLA on September 21 for 'serious violations of discipline and law,' per China's Ministry of National Defense. Follows the October 20-23, 2025 Fourth Plenum expulsions of He Weidong and Miao Hua.

Liu Zhenli **EXPELLED**

PLA general officer

Expelled from the Communist Party and the PLA alongside Zhang Youxia on September 21 for 'serious violations of discipline and law,' per the Ministry of National Defense; the source did not specify his position.

Li Chenggang **APPOINTED**

Top international trade negotiator

Elevated to a top-level international trade representative post shortly before leading trade discussions in New York, per Bloomberg and SCMP.

CPC POLITBURO

Politburo reviews documents for Fifth Plenum, sets plenum dates

The Politburo, chaired by General Secretary Xi Jinping, met to discuss documents to be submitted to the Fifth Plenum of the 20th Central Committee; CGTN reported the meeting 'sets dates for Party plenum' and addressed 'major issues on Party self-governance.'

习近平 · XI JINPING · REPLY TO US UNIVERSITY STUDENTS ON CHINA-US YOUTH EXCHANGE

CONCILIATORY · TO US

Xi Jinping · CCP General Secretary, President

“Chinese and American youth share one planet and a common mission of the times. I hope you will continue working with young people from both countries to become inheritors, guardians and developers of China-US friendly cooperation, promoting mutual understanding and steady bilateral relations.”

中美青年同处一个地球，共担时代使命。希望你们继续同两国广大青年一道，努力成为中美友好合作的传承者、维护者、发展者，携手促进两国人民相知相亲、两国关系行稳致远，为建设更加美好的世界贡献青春力量。

Xi replied to a letter from nearly 100 students at 10 US universities, including Harvard, following their participation in a China-US youth exchange program, days before his Washington visit.

Guancha

外交部 · MOFA · US TYPHON MISSILE DEPLOYMENT IN JAPAN

FIRM · TO JAPAN

Guo Jiakun · MOFA spokesperson

“Per MOFA spokesperson: China has lodged strong protests with Japan multiple times through diplomatic channels over the US deployment of the 'Typhon' intermediate-range missile system in Kyushu, and recently issued a diplomatic note reiterating its stern position.”

多次通过外交渠道向日方提出强烈抗议，并于近日照会日方重申严正立场

Statement made at Monday's regular MOFA press briefing regarding the US Typhon missile deployment in Kyushu, Japan.

Sina Finance ZH

外交部 · MOFA · SIGNIFICANCE OF XI-TRUMP RECIPROCAL VISITS

CONCILIATORY · TO US

MOFA spokesperson · MOFA spokesperson

“Per MOFA spokesperson: the two heads of state realizing mutual visits within half a year is of historic and milestone significance.”

中美两国元首在半年内实现互访 具有历史性里程碑意义

Comment made ahead of Xi Jinping's September 23-25 Washington visit, which follows Trump's May 14-15 Beijing summit.

CRI

外交部 · MOFA · GLOBAL DEVELOPMENT INITIATIVE 5TH ANNIVERSARY DIALOGUE

ROUTINE · TO OTHER

MOFA spokesperson · MOFA spokesperson

“Per MOFA spokesperson: China will hold a high-level dialogue marking the fifth anniversary of the Global Development Initiative at UN headquarters in New York on September 25.”

中方将于9月25日在纽约联合国总部举行全球发展倡议5周年高级别对话会

Xi Jinping launched the Global Development Initiative at the UN General Assembly on September 21, 2021, five years to the day before this announcement.

Shanghai Observer

外交部 · MOFA · CRITICAL MINERAL SUPPLY CHAIN STABILITY

ROUTINE · TO US

MOFA spokesperson · MOFA spokesperson

“Per MOFA spokesperson: China has always been committed to maintaining the stability and security of global critical mineral supply and production chains.”

中方一贯致力于维护关键矿产全球供应链稳定与安全

Statement follows FT and Bloomberg reports that Chinese rare-earth shipments and magnet exports to the US fell in August ahead of the summit.

21jingji

• WHAT OTHERS ARE SAYING

AFP · SEPT 20, 2026

Scott Bessent · US Treasury Secretary

“We just had a very successful engagement with the Chinese on trade and AI.”

Made after roughly eight hours of talks with He Lifeng's delegation at JPMorgan Chase's Manhattan headquarters, three days before the Trump-Xi summit.

source

PLA DAILY · SEPT 21, 2026

Han Zheng · PRC State Vice President

“China is willing to work with Australia to promote a more mature, stable and fruitful China-Australia comprehensive strategic partnership.”

Made during Han Zheng's meeting Monday in Beijing with Australian House Speaker Milton Dick.

source

PLA DAILY · SEPT 21, 2026

Milton Dick · Speaker, Australian House of Representatives

“Australia places high importance on relations with China and adheres to the one-China policy.”

Made during a Beijing meeting with PRC State Vice President Han Zheng.

source

PRC-ECONOMY

YICAI

Li Auto to sell chips, SiC modules externally but not battery packs

Li Auto executive Ma Donghui said the automaker will sell its Mach chip and silicon-carbide modules to other manufacturers but keep its custom battery pack proprietary.

NYT CHINESE

China presses AI push even as economy shows deflationary strain

NYT Chinese reports economists warn China's AI-centric resource allocation could carry a high cost for ordinary livelihoods amid a deflationary spiral.

DIPLOMACY

VOA CHINESE

Trump to meet Japan's Takaichi in New York before hosting Xi

Trump will meet Japanese Prime Minister Sanae Takaichi in New York Tuesday, ahead of Thursday's summit with Xi Jinping.

VOA CHINESE

Dueling pro- and anti-Xi demonstrations appear in NYC's Flushing

VOA Chinese reports competing demonstrations, one demanding Xi 'step down' and another praising the CCP, appeared in Flushing ahead of his Washington visit.

ENERGY

SCMP

Cathay urges Hong Kong to set sustainable-fuel targets beyond 2030

Cathay Pacific's CEO called for mandatory SAF targets after a mainland official proposed Greater Bay Area subsidies to boost sustainable fuel sales.

CROSS-STRAIT

FOCUS TAIWAN

Scholar: Taiwan, democracies must build resilience against China, Russia

A scholar interviewed by Focus Taiwan said Taiwan and allied democracies need to build resilience against Chinese and Russian pressure campaigns.

TAIPEI TIMES

Taiwan to crack down on election deepfakes ahead of November vote

Taiwan's Ministry of Justice pledged forensic tracing and rapid takedowns of deepfake election content ahead of the November 28 local elections.

SANCTIONS

BLOOMBERG

China's rare-earth magnet exports to US drop before Xi-Trump meeting

Bloomberg reports magnet shipments fell again ahead of Thursday's summit, mirroring the FT's reported 20 percent drop in overall rare-earth shipments in August.

● UPCOMING

Sep
22

UNGA high-level week opens, New York

The 81st UN General Assembly general debate begins; Iran's president is also traveling to New York this week.

Sep
23

Xi Jinping state visit to Washington begins

Confirmed by Beijing Monday, running through September 25; agenda includes trade, rare earths, AI safety and Taiwan arms sales.

Sep
25

China to host GDI 5th-anniversary dialogue at UN HQ, New York

The high-level dialogue falls five years to the day after Xi launched the Global Development Initiative at UNGA on September 21, 2021.

Oct
1

PRC National Day, 77th anniversary

Falls days after Xi's Washington visit concludes.

Nov
10

US-China trade truce and Busan-deal suspensions set to lapse

Taipei Times reports the current truce is 'set to expire Nov. 10'; the BIS Affiliates Rule suspension and China's rare-earth control suspension are due to lapse around the same date absent extension.

CSIS China Programs

CHINA DAILY BRIEF

Washington, D.C.

[Read online](#)

[Past issues](#)

You are receiving the China Daily Brief as a member of the CSIS China Programs distribution list.

This newsletter is automatically generated, so it may contain errors. Please check all information and sources before citing. To report errors or other issues, please contact Andy Lim at alim@csis.org.

generated 7:15 AM ET

[↑ BACK TO TOP](#)

© 2026 Center for Strategic and International Studies